

MOHANBIR SAWHNEY

Career Central Corporation: Building Critical Mass

It was February 13, 1998, and Jacob Matthews, chief strategy officer for Career Central Corporation, put down the phone and pensively tapped his fingers on the edge of his laptop. He had just finished talking to the head of an executive recruiting firm. Matthews was not interested in leaving Career Central for a new position; rather, he had contacted the recruiter to explore the possibility of Career Central entering into a strategic partnership with the recruiter's firm.

Career Central Corporation, under the Career Central name, provided a firm seeking professional employees with rapid access to a list of qualified and interested candidates by matching the firm's hiring criteria with Career Central's extremely large and growing database of professionals. Originally called MBA Central, Career Central had expanded its focus beyond MBAs to include software professionals. Since its launch just over a year and a half earlier, Career Central had attracted more than 30,000 MBAs to register with its database, far exceeding initial projections. The firm was now turning its focus toward achieving critical mass on the other side of the job placement equation: with the universe of firms interested in hiring mid-level professionals. Among the several options available to the firm, teaming up with executive recruiters seemed to be a very promising way to build a broad network of company contacts. However, partnering with recruiters posed several difficult issues. By sharing information with recruiters, Career Central could potentially lose control of its most valuable asset—its database of job candidates.

Career Central

Company Description

Career Central (www.careercentral.com) was founded by Jeff Hyman, a 1995 graduate of Northwestern's Kellogg School of Management, who had noted how difficult it was for students to find jobs outside the "big three" of consulting, investment banking, and brand management. Starting off with funding from several angel investors, including classmates and other Kellogg alumni, Hyman left his position at Intuit in late 1996 to start Career Central Corporation (then called MBA Central) with the vision of redefining the job placement opportunity arena by fundamentally changing the way job seekers and companies found each other.

Using the Internet and e-mail, Career Central sought to simplify the job placement process for both the candidate and the company by providing more personalized, targeted employment opportunities for the job seeker and rapid turnaround time for the prospective employer at a low price.

While there were many job-oriented resources available on the Web, they generally followed the traditional classified ad model of posting a comprehensive list of opportunities from which the seeker had to choose. Career Central was designed to be a different kind of intermediary, one that created a more efficient marketplace by quickly matching prospective employers with a set of qualified and interested candidates.

Career Central was positioned to take advantage of several trends affecting MBAs. First, the number of people graduating from MBA degree programs was growing each year, with 115,000 entering the job market in 1997 alone from approximately 700 North American and 50 European business schools. The total number of MBAs who had graduated since 1985 was nearly 1.1 million (see **Exhibit 1**). This group of graduating students and alumni formed the core market for Career Central—they were highly focused on career advancement and, on average, each switched jobs every three years during the first ten years following graduation. In addition, almost all owned and used PCs and had e-mail accounts at either the office or home, if not both.

Concurrent with the rise in the number of MBAs was a wider interest in hiring MBA graduates among small- and medium-sized firms that did not have the resources to actively recruit for these individuals. At the same time, entrepreneurship and technology-focused studies were in vogue at several major business schools, resulting in graduates' broader acceptance of working for a small firm. These trends had led to a greater fragmentation in the job search opportunity arena. Career Central saw this increased friction as an opportunity to add value to both sides of the job-seeking process by acting as a mediator between the MBA and the hiring company.

The Process

Candidates registered with Career Central by filling out a questionnaire that collected detailed information about the individual's academic background, work experience, functional areas of expertise, and personal interests, including geographic preferences (see **Exhibit 2** for a sample profile). This questionnaire was made available through free software distributed by Career Central that automatically transmitted the completed forms via modem to Career Central's database. Alternatively, candidates could register and fill out the questionnaire directly via Career Central's Web page, which was being done with increasing frequency. Marketing and distribution of the software through business school career offices, alumni associations, and increasingly, word of mouth had been extremely effective.

On the other side of the equation, Career Central's ten-person sales force worked the phones to contact firms that were looking to hire mid-level professionals. Ironically, other Web-based resources that followed the traditional classified ad model, such as Monster Board, were a rich source of company leads for Career Central. The individual at the client firm responsible for hiring, generally a hiring manager or human resources specialist, would provide the Career Central search consultant with parameters for the type of candidate being sought. Once these parameters were set up, a series of steps followed in rapid succession.

First, the search consultant performed a query of the entire database against the specified criteria, producing a list of qualified candidates. Rather than functioning simply as data processors, Career Central's search consultants added value to the process of matching candidates because of their background in executive recruiting companies. Career Central believed their past experience in the recruiting field helped the company generate a better list of candidates than if the query were done without this "human touch."

Career Central's server then generated and sent an e-mail message to each qualifying candidate, describing the hiring company and the position (see **Exhibit 3** for a sample job notification e-mail). The recipient indicated his or her interest in the job by responding either "yes" or "no" by return e-mail and attaching a resume if he or she was interested in the position. The server separated the positive responses and printed out the attached resumes. At that point, Career Central mailed or faxed the package of resumes to the client for consideration. Within approximately five business days, the client was provided with a guaranteed minimum of ten qualified and interested candidates that he or she could begin contacting and interviewing immediately. The search was priced at \$3,000 and came with a money-back guarantee should the hiring company be unsatisfied with the names provided.

Network Externalities

Career Central's business model revolved around a key network externality that had been difficult to achieve for all but a few national executive search firms. The more candidates that were contained in Career Central's database, the more attractive it became to a firm seeking to fill a position quickly. Likewise, the more firms that used Career Central as their source of prospective candidates, the more attractive it became to graduating students and alumni. Until the advent of the Web, only firms that focused exclusively on the senior management level, where a few number of jobs and a few number of candidates enhanced the value of the recruiters' personal connections, had been able to take advantage of this network externality. The vast reach of the Web and the instantaneous flow of information facilitated by modem and e-mail communication now made this business model feasible at the more populous and dispersed middle-management staffing level.

Achieving Critical Mass

Marketing to the Candidates

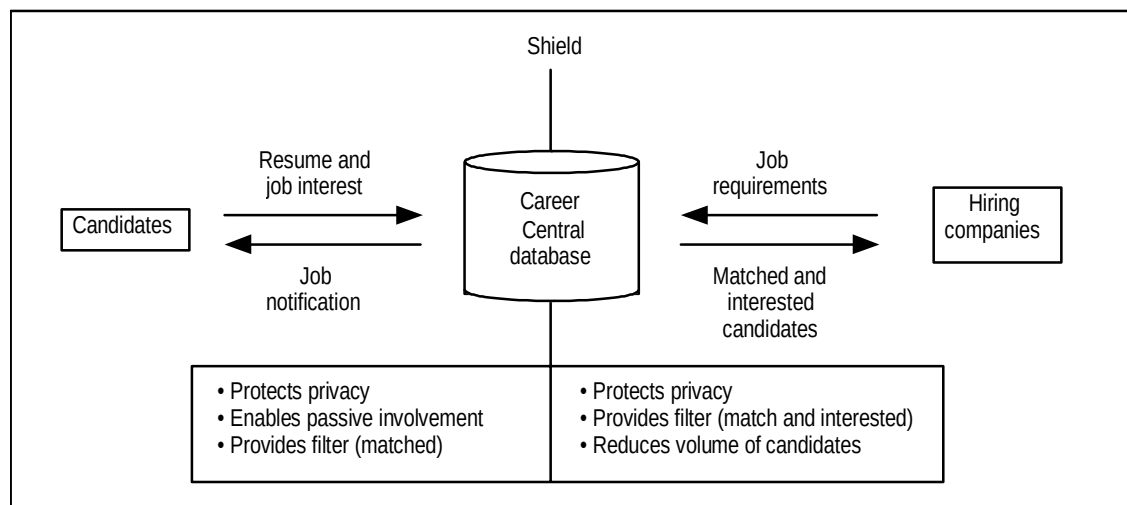
Career Central took advantage of certain characteristics that typified the MBA student. Most were highly proficient with computers and used e-mail on a regular basis for personal and professional communication. In addition, MBA graduates were focused on career advancement, and they viewed job changes as one of the principal ways to achieve this objective. MBAs could, and were encouraged to, stay registered with Career Central on an ongoing basis. Even when not actively searching for a new job, they would be informed of potentially interesting opportunities that met their minimum criteria. This feature appealed to the tendency of MBAs to have several different jobs over the course of their careers.

One of the benefits of Career Central's business model was its passive nature—one simply waited for an e-mail with a job posting that may or may not be of interest. These notices might come as often as once a week, but could be much more infrequent if one's interests were highly specific. For the graduating student, this inconsistency could be a drawback, although the low cost of the service (just the time needed to register) was an effective countermeasure to the student's anxiety about finding a job as soon as possible. For gainfully employed alumni, the privacy of an e-mail-based notification was a great attraction. These alumni were able to stay informed about potentially attractive job opportunities without the awkwardness of handling recruiters' calls during work hours or having their current employer find their resume posted on the Web. Career Central's business model and key benefits are depicted in **Figure 1**.

Career Central had remarkable success in achieving critical mass in the MBA community by pursuing a number of key distribution and marketing channels. First and foremost, Career Central widely distributed diskettes with free registration software to MBA students. Additionally, the firm built relationships with business school career services directors. These professionals were evaluated on their ability to place graduating students in jobs, regardless of method. They viewed Career Central as a tool to achieve their objectives and thus became advocates for the service.

The primary source of alumni registrants was, of course, graduating students who maintained their registration after receiving their degree. In order to attract new alumni registrations, Career Central worked with alumni affairs directors at several business schools to develop co-branded diskette mailers and other promotions.

Figure 1: Career Central Operations



Building a Web of Corporate Clients

Jacob Matthews, Career Central's chief strategy officer, recognized the need to achieve critical mass as quickly as possible on the company side. Because network externalities played such an important role in the success of Career Central's business model, building scale quickly

to establish a recognized and valued brand name was essential to locking out potential competitors.

PRODUCT BENEFITS

Career Central's service benefited smaller and medium-sized firms that did not have the resources to conduct intensive recruiting for MBA candidates. Frequently, the individual responsible for hiring was a full-time manager who encountered problems when trying to fill a vacant position because the time spent looking for a candidate was time lost from other work that needed to be done. By not filling the position, on the other hand, the manager lost staff productivity. These individuals were looking to retain control over the recruiting process, but in a timely and cost-effective manner. A classified ad had limited reach and was not sufficiently targeted, and an executive recruiter was expensive. For these hiring managers, Career Central could provide a matching service similar to that provided by a professional recruiter at a fraction of the time and cost.

CONCERNS

While critical mass had been reached in the subscriber pool, Career Central had not been as successful with potential employers. From the employer's perspective, even though the risk associated with using this service was only moderate, the rewards were uncertain mainly because Career Central was an unknown entity presenting an unorthodox proposition. Companies' reservations included skepticism about the ability of Career Central to deliver candidates who met their specifications. Therefore, despite the low cost and money-back guarantee offered by Career Central, hiring managers had proven to be reluctant to put in the additional time and effort to establish a relationship with Career Central. Because revenue was generated solely from employer search requests, Career Central needed to intensify its efforts on this front. Furthermore, without a large number of potential employers, Career Central was concerned that the low frequency of potential job matches might lead to attrition in the subscriber base.

Opportunities for Client Growth

There were several avenues that Matthews had considered for rapidly building up a large base of corporate clients. These included partnering with online job boards, working with traditional classified advertisers, expanding the firm's scope geographically or functionally, and finally, entering into strategic alliances with executive recruiters. **Exhibit 4** illustrates how each of these participants in the job placement arena would add value to the corporate clients' recruiting activities.

Online Job Boards

The services that these firms provided ranged from simply posting job openings electronically to providing Web-based software that sorted and graded resumes and administered psychological and personality tests on behalf of companies. Most of the online job boards listed middle management positions, with salaries between \$50,000 and \$80,000. The fees charged to

listing companies varied greatly, from as little as \$55 per line for a job posting to several thousand dollars for more involved services.¹

The most notable firms in this segment of the industry included Monster Board, CareerMosaic, and E-Span, Inc. However, in the preceding five years, literally hundreds of interactive job banks and bulletin boards had become available on the Web (see **Exhibit 5** for some facts on several popular sites). Historically, the online job banks had primarily served the technical and engineering markets, mainly because technical candidates had access to computers and were comfortable navigating the Internet in search of new job opportunities. Recently, however, there had been an increasing shift towards more mainstream job postings. For example, CareerMosaic, the number-two online classified site, which logged about 230,000 queries a day, had recently created two new specialty sites, one for accounting and finance and another for insurance jobs. Additionally, *The Wall Street Journal* and Dow Jones both had interactive sites that included classified ads. *The Wall Street Journal* site (www.careers.wsj.com) contained approximately 12,000 listings with emphasis on positions in general management, sales, marketing, finance, and technology.

There was a lot of activity in the online classified market, but it was not immediately clear to Matthews how Career Central fit into the equation. At a minimum he could try to get links set up from the major online classified sites to point hiring companies to Career Central. Another option could be to pursue a more integrated relationship with the online classified sites, one that could entail bundling a package of online job postings along with Career Central's database search service for the corporate client. It seemed doubtful, however, that the classified sites would be willing to point their customers to a service that might end up stealing a share of their business.

Traditional Classified Advertisers

Matthews knew that newspapers made much of their money on classified advertising. In fact, the average newspaper generated 37 percent of its revenues from classifieds, which was the most profitable area of the newspaper business.² Newspapers seemed to present both an opportunity and a conflict at the same time. The opportunity was that a larger newspaper, in particular, had an extensive relationship network with companies in its region. In addition, Career Central could leverage the newspapers' highly skilled sales force. Attractive as the newspapers were, however, Matthews was skeptical that he could convince them to expose their valuable revenue source to a fast-growing competitor. He also felt that tying Career Central to such a traditional medium was inconsistent with its positioning as the purveyor of a new paradigm for the job search opportunity arena.

Expand Horizontally

A number of people in the organization had proposed broadening the scope of the business along several lines, including by geography or function. As companies had expanded globally in recent years, employers had increasingly looked to MBAs to fill overseas positions. Along similar lines, it was tempting to broaden the firm's database to include undergraduates with business

¹ *Executive Recruiter News*, January 1997, 5.

² *The Fourth Estate*, May 4, 1996, 24.

degrees, lawyers, accountants, engineers, and medical professionals. While these ideas were attractive from a volume and revenue standpoint, Matthews felt that at this relatively early stage of the firm's development, Career Central would be better off solving its critical mass problem on its core service offering before expanding into new areas.

Executive Recruiters

Corporations hired executive recruiters to help with the entire process of finding and hiring a new employee. Recruiters were used to fill middle management positions, but a number also specialized in identifying and filling high-level executive staff openings. The degree to which recruiters became involved in the hiring process varied from recruiter to recruiter. Some firms simply screened candidates and provided a short list to the hiring company. Others provided much more comprehensive services, helping the company from the beginning to the end of the process. A typical recruiter's fee was 30 percent of the job candidate's first-year salary. Placing candidates in middle management positions that frequently paid in excess of \$100,000 per year could add up to substantial fees. If Career Central could get just a fraction of the recruiter's finder's fee, it would capture greater value than it currently did by working directly with hiring companies.

The executive recruiting industry was a \$6.5 billion business worldwide in 1997, having experienced an 18 percent increase over the previous year. The industry was very fragmented, with more than 50 percent of the market consisting of firms with revenues less than \$5 million. The largest firm in the world, Korn/Ferry, had only 5 percent of the market.³ Based on 1996 figures, the four-firm concentration ratio in the industry was only 0.15.⁴

Compared to the other alternatives, an executive recruiting alliance seemed to be the most promising when Matthews considered the trade-off between the implementation risks and potential revenue benefits. First, unlike the newspaper industry, which was highly concentrated, the recruiting industry was very fragmented, with thousands of recruiters in the United States alone. In such an industry, creating valuable partnerships might be plausible and could occur without attracting attention from the large players in the industry who might see Career Central as a threat. In addition, recruiters represented the "low-hanging fruit" in the industry, with healthy margins. With this in mind, Matthews decided to further analyze the executive recruiter industry.

Executive Recruiting Industry

Industry Structure

The recruiting industry was divided into two main camps, retained and contingency. Approximately 36 percent of the recruiters fell into the former category.⁵ Retained recruiters were hired by a company for an assignment, typically for 90 to 120 days, and were paid regardless of the results of the search. The clients sometimes kept their recruiters on retainer in order to fill

³ *Executive Recruiter News*, January 1998, 1.

⁴ *Executive Recruiter News*, April 1997, 4.

⁵ *Directory of Executive Recruiters 1997* (Fitzwilliam, NH: Kennedy Publications, 1997).

other job openings as they arose. Typically, retained recruiters were used to fill higher-level senior management positions with salaries of \$100,000 and above.

Contingency recruiters were most often used for junior and mid-level executives with salary levels at or below \$100,000. Contingency recruiters received payment only when one of the candidates they recommended to the company was actually hired. Contingency recruiters did not typically work on an exclusive basis with their clients. As a result, they tended to work fast and submit as many candidates as they could to the hiring company in hopes of beating their competitors to the finish line.

In addition to retained versus contingency, the recruiting industry could also be broken down by a number of other criteria, including geographical, industry, and functional concentrations (see **Exhibit 6** for recruiting industry breakdowns). The more he learned about executive recruiters, the more Matthews realized that he faced several complex and interrelated decisions as he pondered how to find the best partners in the industry and how to structure the partnerships. To help him parse through these questions, he developed the comparative framework for Career Central and executive recruiters shown in **Exhibit 7**. This analysis helped him identify the value that could result from a potential partnership.

Retained Versus Contingency Recruiters

Matthews knew that he had the resources only to focus on a small number of partners, at least initially. The first question he needed to resolve was whether retained or contingency recruiters would make better partners for Career Central. He identified three reasons why retained recruiters would make attractive partners. First, they typically were involved in placements for higher-salaried positions. In other words, there was more money involved in each placement, increasing the likelihood that Career Central could extract higher fees. Second, retained recruiters typically worked in a broader range of functions and industries. Their aim was to establish a strong relationship by meeting all the recruiting needs of their clients. Since it was difficult to build expertise in all functions and industries, perhaps the retained recruiters would place a higher value on the Career Central service, which had a candidate pool that was as diverse across functions and industries as the general population of MBA degree holders. The third benefit of working with retained recruiters was that, due to their guaranteed payment structure, they might be more willing either to pay Career Central up front or pay a percentage commission.

The one major drawback to working with the retained recruiter market was that a higher proportion of their placements were for senior management positions, which generally did not provide the best match with the bulk of Career Central's subscribers. Furthermore, it seemed unlikely that a recruiter looking for the next chief executive of a company would use a service like Career Central. Much of the success for recruiters in this type of placement was based on their industry contacts and ability to persuade a current CEO to consider a new position. Finding qualified candidates was not the issue as much as being a good salesperson.

Contingency recruiters, on the other hand, were attractive for two main reasons. First, they represented the bulk of the market, earning most of the placement fees in the industry. Second, contingency recruiters were used to working on a commission structure and might be more likely to compensate Career Central on a percentage basis. Sharing the recruiters' contingency fee represented a potentially large revenue source for Career Central.

On the negative side, if it turned out that sharing the contingency fee was not something the recruiters were agreeable to, there might not be an opportunity in the contingency side of the market. Since contingency recruiters had no guarantee that they would be paid by the hiring company, Matthews was skeptical that he could convince a contingency recruiter to pay up front for the Career Central service. The other problem he saw with contingency recruiters was that they tended to work in narrow functional or industry segments. Since they were paid only when they placed a candidate, it was in their best interest to develop expertise in specific areas. As a result, these recruiters were well connected in the segment of the market that they focused on, but not beyond that particular niche. Since they knew the market so well and probably had an extensive list of candidates in their functional/industry niche, Matthews was not sure if they would have a need for Career Central. If a contingency recruiter specialized in high-tech marketing jobs in the Southeast, for example, would Career Central's diverse database of candidates provide any value?

Fill in the Gaps or Strengthen the Core

One of the key issues for Matthews was deciding which type of recruiter would significantly increase the number of candidate searches for Career Central. He realized that he had to attract companies that would be most likely to find qualified candidates with Career Central's database. Increasing the number of searches, but not the yield, would provide only short-term benefits, as companies that were unsuccessful or unsatisfied might not try the service again.

Recruiters tended to be relatively strong along one of many broad lines, including geography, functional expertise, industry specialization, or size of clients. Before Matthews could decide which area of focus would provide the best complement to Career Central, he needed to undertake a segmentation analysis, comparing Career Central's database of names to its current client base to determine where there were matches and where there were gaps. **Exhibit 8** contains the results of this analysis.

Geographical preferences were almost a one-to-one match with the exception of the Southwest. Candidates' interest in this area of the country outweighed the number of jobs available by hiring companies. This preference could probably be attributed to the fact that the majority of Career Central's clients came from the larger metropolitan areas in the United States. In functional preferences, several gaps existed. There was excess demand on the hiring side for accounting and marketing positions while candidates had stronger preferences for entrepreneurial and general management positions. MBA interest in these functions coincided with the rapid growth of start-ups in the information technology industry and candidates' tendency to want general management jobs as they left the consulting field, an area of growing popularity for graduating MBAs. Industry preferences also showed gaps. There was larger demand on the hiring side in the healthcare and manufacturing sectors while candidates showed more interest than jobs available in the entertainment/media and retailing sectors. Additionally, candidates had a stronger desire to work in start-ups or smaller organizations, an inclination that mirrored nationwide MBA trends over the preceding few years.

While the segmentation analysis was insightful, it did not give Matthews a definitive answer. Should he steer Career Central to partner with recruiters in areas where it was currently strong to further strengthen them, or should he try to fill in the gaps?

Recruiter Segmentation: Leverage, Leakage, and Loot

Matthews knew that executive recruiters had reputations and working styles that were varied, but that they fell into four general categories. He felt that segmenting the recruiters in this manner might help him decide which type of recruiter would make the best partner. From his discussions with various recruiters and others familiar with the industry, Matthews was able to piece together a rough descriptive profile of each of the four types of recruiters based on how they affected Career Central's "leverage," "leakage," and "loot," as described below.

Of greatest interest to Career Central was identifying which characteristic indicated that a recruiter had a large network of corporate clients. Based on the available information, which was limited, Matthews chose annual revenue (the "loot") as the best proxy for the number of job search transactions, indicating overall size.

A second segmentation axis of significance to Career Central was the breadth of industries and functions served by the recruiters. Matthews believed that this metric would provide insight on two extremely important issues for Career Central. First, Matthews wanted to understand what his bargaining power would be in relation to the recruiter (the "leverage"). Second, he needed to gauge the extent to which Career Central would be damaged if its partner defected by taking possession of the names in Career Central's database (the "leakage"). If Career Central subscribers found themselves being contacted by recruiters who got their names from Career Central, Matthews felt his firm's reputation would be badly tarnished as it has been built in part on its candidates' privacy. **Exhibit 9** shows the results of this recruiter segmentation analysis.

BB GUN

"BB Gun" recruiters were often one-person firms started by someone who left a larger recruiting firm to go out on his or her own. Typically these firms operated locally, serving just a few clients with whom they were able to build strong ties. Many of their clients came with them from the recruiter's previous firm. Additionally, these firms tended to specialize in only one or two industries, as it was nearly impossible for one person and a secretary to keep up with the developments in the broader business world. While working with these firms would enable Career Central to target very specific areas of growth, the number of partners required might make such a partnership strategy logistically prohibitive.

SHOTGUN

"Shotgun" recruiters were similar to the BB Guns in their size and, often, in how they got started. However, the one major difference was that Shotgun firms did not have the discipline to stay within a few industries that they knew well. Recruiters in this type of firm were interested in pursuing as many placements as possible, regardless of the industry or functional area. Job seekers using a Shotgun recruiter were likely to have their resumes spread far and wide but end up with few qualified job leads. Although working with these firms would enable Career Central to have the upper hand in negotiations due to their small size, their lack of discipline or high-end targets might make such a partnership financially unattractive.

MISSILE

"Missile" recruiters were large and well established, usually with an excellent reputation in their chosen area of concentration. Missile firms either specialized in a certain industry or a functional area, such as financial institutions or senior executives. While working with these

firms would provide the quickest result for Career Central, there was a temptation for these firms to abuse the company's database of names if the match between Career Central's candidates and the recruiter's target clientele was very strong.

A-BOMB

"A-Bomb" recruiters were among the largest recruiting firms in the industry. They provided recruiting services at all levels of the organization and across most, if not all, industries. Some of these firms even provided services outside the traditional sphere of candidate recruiting. One such firm described its service offering as "the nation's largest full-service human resource management consulting firm specializing in strategic human resource systems, executive search, outplacement counseling, pre-retirement counseling, organization assessment, and management development." These firms tried to be all things to all people. While working with these firms would offer Career Central the opportunity to get really big fast, the power and size of these firms might erode the brand and value of Career Central's service. In addition, these firms were most likely to develop and succeed with their own Internet-based offering.

Issues in Designing Partnerships

As Matthews pondered the upcoming decision, his thoughts drifted from the strategic to the tactical level. If Career Central partnered with recruiters, Matthews would have to work hard to ensure that he could maximize the potential opportunities and also limit any negative consequences. How could he build a framework that would deal with critical issues, such as risk and reward sharing, information control, and operational management? Before becoming too overwhelmed with details, Matthews began to focus on six key "levers" that would drive most partnering discussions and offer ways in which specific agreements could be structured.

Fee Structure

Inherent to any partnership was an issue of risk versus reward. Matthews thought about how Career Central could structure agreements that would allow it to be adequately compensated for its contributions, but not bear a disproportionate amount of risk in its client transactions. On its own, Career Central received a fixed fee for its delivery of a list of qualified candidates. While retained recruiters received a fixed fee as well, contingency recruiters did not receive payment until a candidate was hired. There were several ways in which a partnership could overcome any issues with payment, including set revenues, profit sharing, profit postponement, and combinations of the above. Set revenue structures tended to work best in deals that lacked the potential for new value creation and where it might not be possible to trust the other party or share information. Profit sharing increased the probability that both parties would act toward maximizing the total profit stream as each had direct incentives built into the structure. Sharing of costs and trust were necessary for this strategy to be effective. Profit postponement might include bonuses if certain criteria were met, which also could increase individual incentives. Sharing of costs and trust were also necessary for this strategy to be effective. **Exhibit 10** details a few fee structure options for Career Central.

Sharing of Information

A great deal of value might be created through the sharing of information between Career Central and partnering recruiters. However, if Career Central or the recruiters continued to view each other as competitors, important information might be too tightly controlled for the partnership to be effective. In many ways, the job placement business was based on a sense of trust, fairness, and reputation for doing the right thing. In order for a partnership to be successful, Career Central had to understand what could be gained and what was at stake from sharing information and resources with recruiters. Specifically, Matthews had to think about how the partners would agree on brand name usage, sharing of candidate and company information, sharing of costs and human resources, and client ownership. **Exhibit 11** highlights some advantages and disadvantages to the sharing of information between Career Central and recruiters.

Contract Length

The recent entry into the market of Career Central (and Internet-based recruiting in general) was beginning to shake up a once relatively stable industry. With that in mind, Matthews wondered how long his partnership agreements should last. The length of a relationship was an important aspect of its structure, as both short- and long-term arrangements held specific risks and rewards. Short-term deals would enable Career Central to retain flexibility in its go-to-market strategies and reduce the potential for negative consequences from choosing the wrong partners. Long-term deals would help Career Central secure partner lock-in and create a stronger signal of Career Central's intentions and abilities to secure new business.

Comprehensiveness

Matthews realized that Career Central's agreements should be well defined, but he wanted to know more about the advantages and disadvantages of overly specific contracts. Did Career Central have the time, energy, and money to develop voluminous agreements to cover all aspects of a partnership? Or was it important to have some gray areas in which both partners were able to innovate? Matthews also needed to think about what systems and processes could be set up to deal with the uncertainty resulting from an ambiguous agreement.

Enforcement

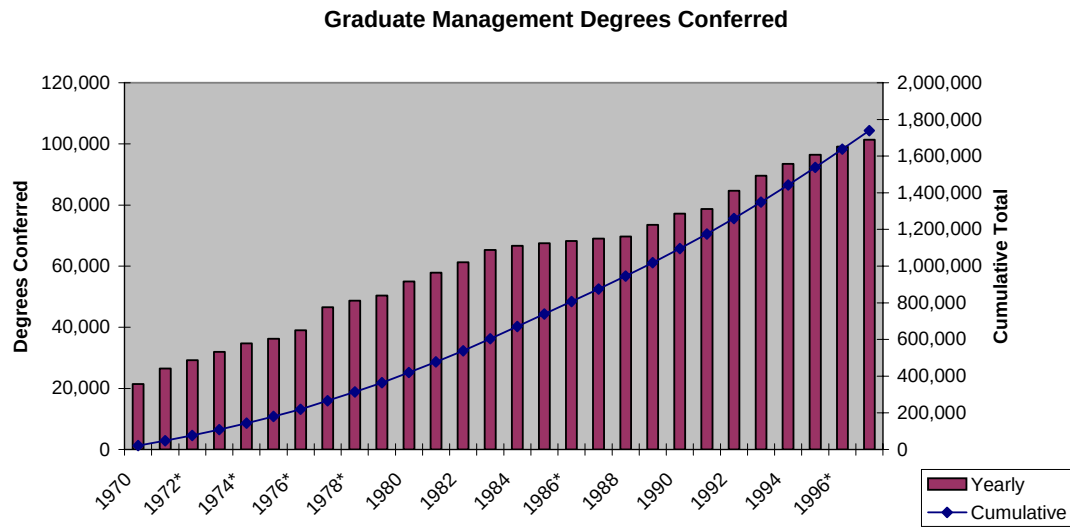
Both Career Central and recruiters stood to lose a great deal if trust broke down in their relationships. When trust in a partnership is an issue, enforcement guidelines are very important. However, unneeded enforcement could signal untrusting partners and might cause unnecessary bureaucracy. Possible enforcement alternatives could include using third-party decision makers, having a fee withholding arrangement, and incorporating contract-breaking clauses into the agreement.

Exclusivity

Having the most partners was not necessarily in the best interest of Career Central, and Matthews knew it. First, there were not enough resources to manage a large and unproven channel. Second, Matthews thought the recruiters might want specific territories or other exclusivity arrangements built into a partnership program. However, having too few partners could prevent Career Central from gaining much value from its partnerships and open up the opportunity for its competitors to pursue this line of growth aggressively.

Matthews realized that there was a great deal to decide before he had to call the recruiter back. He wondered whether recruiter partnerships would be a good move for Career Central, and if so, how he could make them work best. It was a lot to think about, but luckily he knew his job was secure. If not, at least he had the phone number of a good recruiter or two.



Exhibit 1: MBA Graduates Since 1970

Source: U.S. National Center for Educational Statistics.

Note: Estimated using regression analysis.

Exhibit 2: Career Central Database Profile

Contact Information for: Richard Farnsworth
 130 East 87th Street
 New York, NY 10000
 e-mail: Richard_Farnsworth@mckinsey.com
 Home Phone: 212 555-4550
 Work Phone: 212 555-7363

Reachable: Evening
 Preferred Phone: Home

Criteria

- Company Sizes: Large, Medium, Small, Start-Up
- Travel: Moderate (up to 25%)
- Minimum Compensation without equity: 100,000 - 110,000
- Minimum Compensation with equity: 70,000 - 80,000
- Preferred Functions: Entertainment, Entrepreneur, Finance, General Management, Marketing
- Preferred Locations: Stamford, New York City, Newark
- Preferred Industries: Advertising, Apparel, Arts, Banking, Beverage Products, Communications, Consumer Products, Consumer Services, Diversified Financial Services

Northwestern University - Evanston, IL, United States
 Kellogg Business School
 Graduation Date: 06/93
 Attended full time.
 Degrees: MBA - Master Business Administration
 Majors: Marketing

University of Pennsylvania - Philadelphia, PA, United States
 Graduation Date: 06/89
 GPA: 3.4
 Full/Part time not specified.
 Degrees: BS - Bachelor of Arts
 Majors: English

From: 09/93 to present - McKinsey & Company
 Job Title: Engagement Manager
 Industry: Consulting
 Country: United States
 Job Type: Full Time
 Functions: Management Consulting, Strategy Consulting

From: 07/89 to 07/91 - Goldman Sachs & Company
 Job Title: Analyst
 Industry: Investment Banking
 Country: United States
 Job Type: Full Time
 Functions: Investment Banking

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Exhibit 2 (*continued*)

Expertise:

- Business Strategy
- Competitive Analysis
- Financial Strategy
- Marketing Strategy
- Business Development

Languages: English, Spanish, French

Exhibit 3: Career Central Job Notification E-Mail

From: Career Central - Jobs <jobs@mbacentral.com>

To: "'farnsworth@sol.edu'" <farnsworth@sol.edu>

Subject: MBAC4-R3414-25545

Date: Tue, 10 Feb 1998 09:56:11 -0800

ASSISTANT TO CFO

Dear Mr. Farnsworth,

Career Central has identified a career opportunity that meets your interests and qualifications.

If you are interested in this position, please type an X between the brackets and attach your resume file. If possible, reply within 48 hours so we can deliver your resume to the Hiring Manager immediately.

Type an X between the appropriate brackets:

[] Yes, I AM interested in this position

[] No, I AM NOT interested in this position

Job Description

Title: Assistant to CFO

Company: PREIT-RUBIN, Inc.

Location: Philadelphia, PA

Company Description:

Full-Service Real Estate firm that develops and manages retail, residential, and commercial property throughout 20 states.

PREIT-RUBIN, INC. provides a Flexible Benefits Plan to all regular full-time eligible employees. They are proud to offer a competitive benefits package that provides comprehensive coverage to their employees and their families. Their employees recognize that benefits are an important part of their total compensation package.

For additional company information, please visit their website at www.pnnre.com.

Position Description:

Work as an assistant to the CFO on specific projects utilizing analytical skills and possibly accounting skills. Involvement in implementing and establishing strategic plans in functional areas.

Exhibit 4: Value Activity Range for Different Job Placement Methods

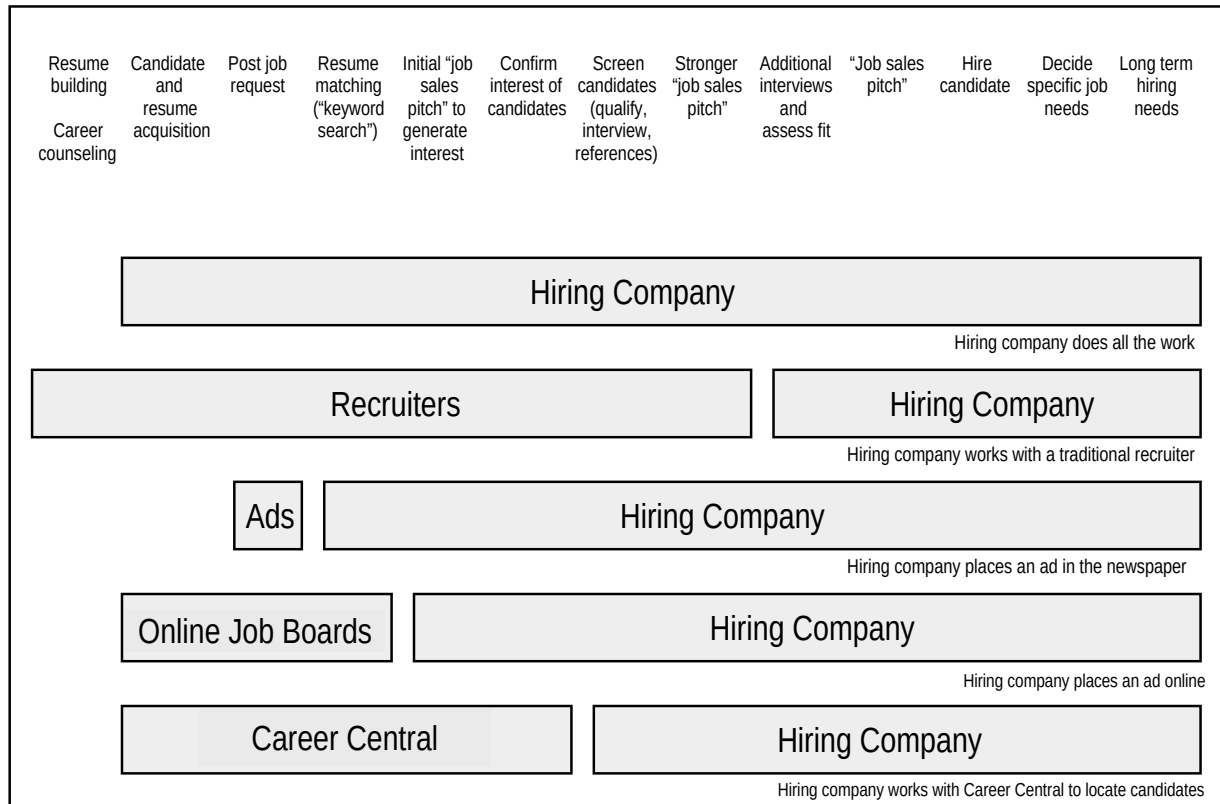


Exhibit 5: Popular Online Job Banks**Site Information**

Company Name	URL	Started	Industry Breadth	Personal Agent ^a	International Postings
FutureStep (Korn Ferry/WSJ)	Careers.wsj.com	1997	Wide	No	Yes
Monster Board	www.monster.com	1994	Wide	Yes	Yes
E-Span, Inc.	www.espan.com	1991	Wide	Yes	Yes
Career Mosaic	www.careermosaic.com	1994	Wide	No	Yes
Career Magazine	www.careermag.com	1996	Wide	No	Yes
JobBank USA	www.jobbankusa.com	1995	Wide	No	Yes
Online Career Center	www.occ.com	1996	Wide	Yes	Yes
Career Path	www.careerpath.com	1995	Wide	No	No
JobTRAK	www.jobtrak.com	1987	Wide	No	Yes

^a Personal Agent feature automatically sends job hunters notification of new postings that match their search profiles.

Number of Job Hunter Search Matches, February 13, 1998

Company Name	ProgrammerBay Area	I-Banking Manhattan	Marketing Chicago	Relevance for MBAs
Monster Board	61	1	30	***
E-Span, Inc.	2	0	10	***
Career Mosaic	37	3	11	***
Career Magazine	70	0	14	**
JobBank USA	5	0	0	**
Online Career Center	90	1	4	**
Career Path	74	0	12	**
JobTRAK	N/A	N/A	N/A	**

Note: Highest relevance is three stars. Based on quantity and quality of listings applicable to MBAs.

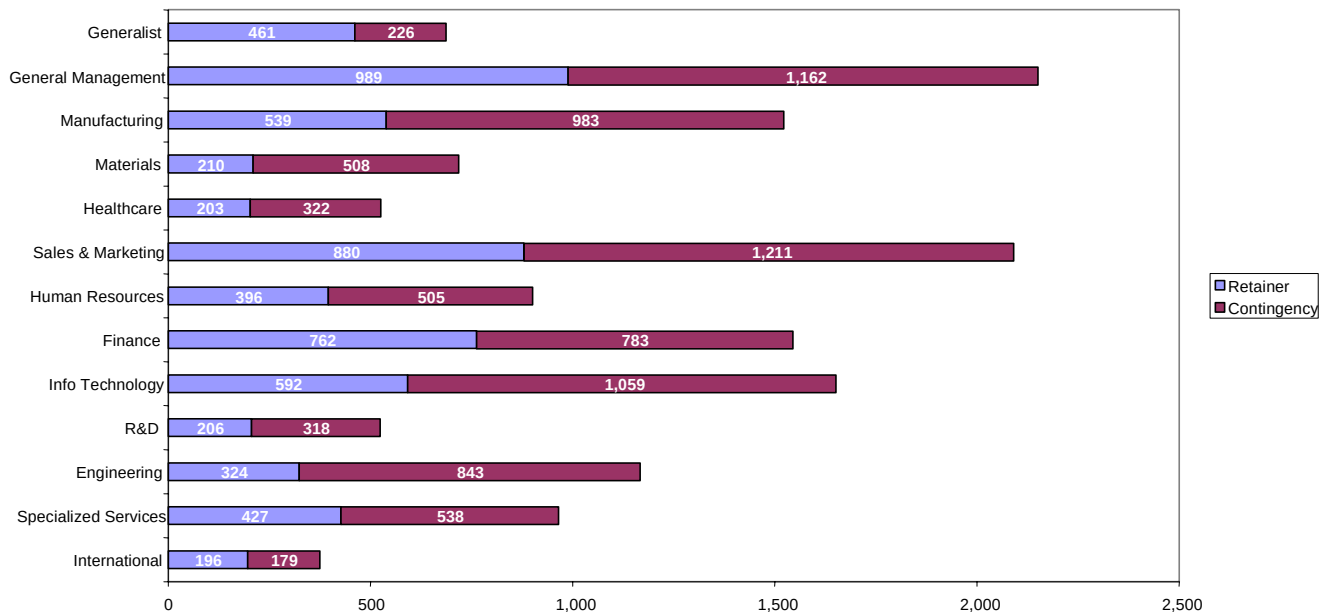
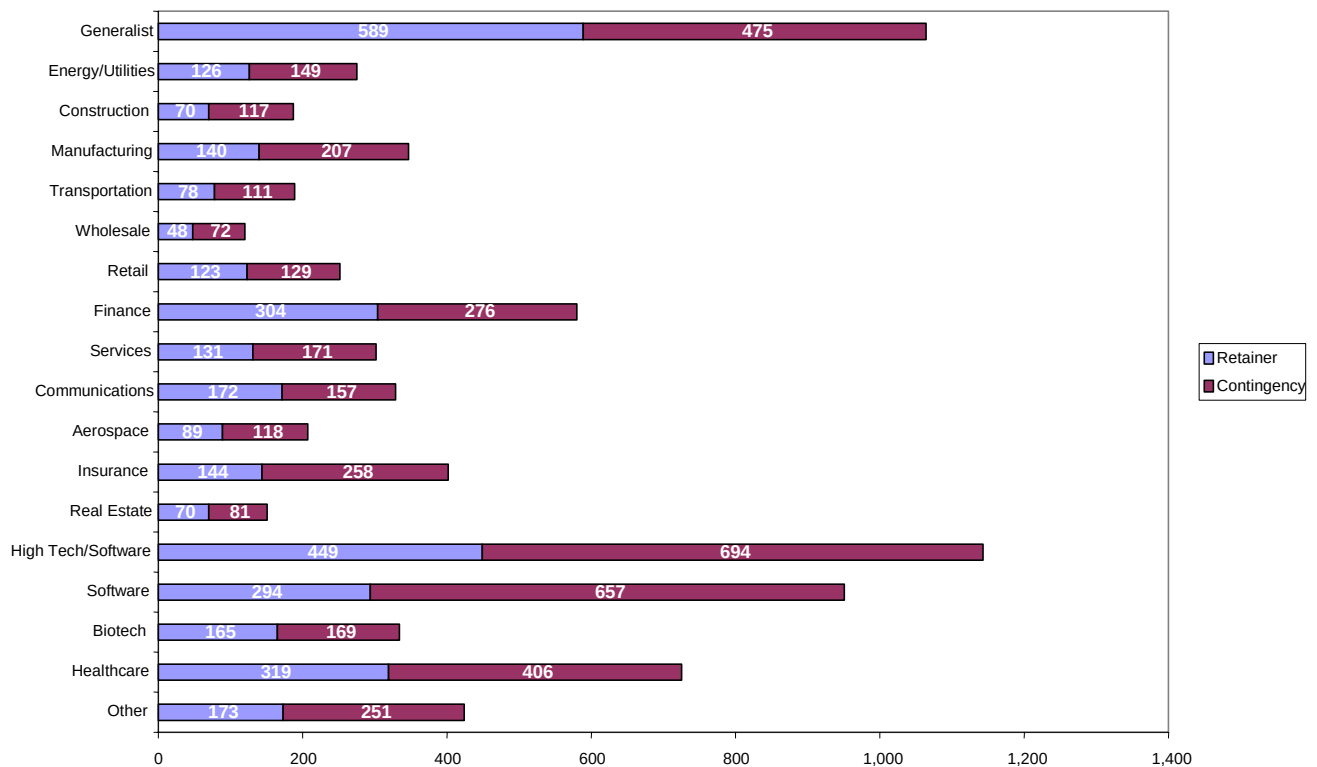
Exhibit 6: Executive Recruiter Industry Breakdowns**U.S. Recruiting Firms by Functional Specialty****U.S. Recruiting Firms by Industry Specialty**

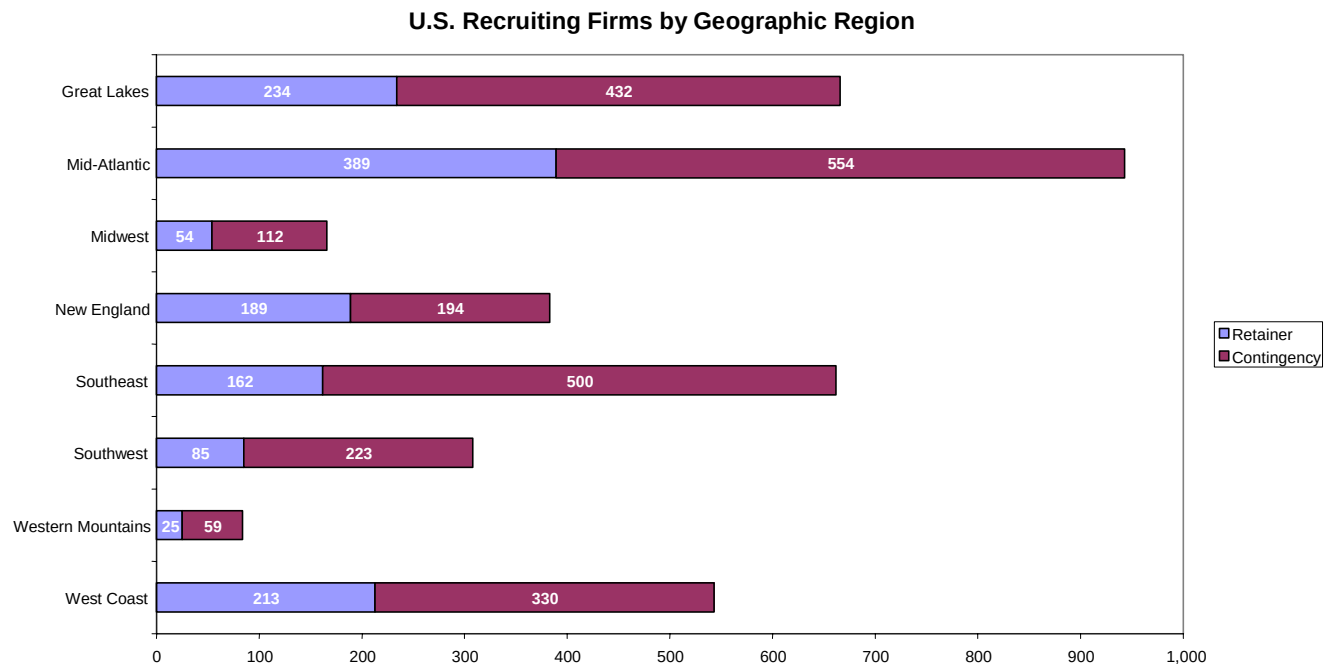
Exhibit 6 (*continued*)

Exhibit 7: Comparison of Career Central and Executive Recruiters

	Career Central	Executive Recruiters
Selling Points	For candidates: "We are your 365 day/year job-matching service that offers you access to new opportunities with privacy and control." For hiring companies: "We are a fast, easy, and inexpensive way to recruit from one of the largest pools of MBA candidates."	For candidates: "We offer a great, low-risk job-matching service through our large but personal web of contacts." For hiring companies: "We will work closely with you to find the right candidates for your job needs."
Customers	MBA students Recent MBA graduates Human resources and hiring managers of small and mid-sized companies	Recent MBA graduates Middle and upper management Human resources and hiring managers of all types of companies
Services	Matching existing candidate database with job requirements Ensuring interest of candidates Providing resumes to companies Reliance on candidates to update their status and information	Collaborative and relationship building Career counseling Human resource activities (screening, reference checking, interviewing) Self-reliance for updating and expanding database
Competitive Positions	Candidate database Geographic scope Filtering and searching capabilities Cost Privacy and confidentiality Convenience Turnaround	"Human touch," relationships Candidate database Persuasive abilities Experience Additional services Specialization
Marketing Activities	Advertising Marketing in schools MBA alumni events Direct mail	Direct sales force Cold calling Referrals Direct mail

Exhibit 8: Career Central Segmentation Analysis**Career Central Candidate/Company Match**

	Candidate Profiles	Company Needs
Geography		
West	Strong	Strong
Midwest	Medium	Medium
Northeast	Strong	Strong
Southeast	Medium	Medium
Southwest	Medium	Weak
Function		
Accounting	Weak	Medium
Entrepreneur	Medium	Weak
Finance	Strong	Strong
General management	Medium	Weak
Investments	Medium	Medium
Marketing	Medium	Strong
Industry		
Consumer products	Strong	Strong
Entertainment & media	Medium	Weak
Financial services	Strong	Strong
Healthcare	Weak	Medium
Manufacturing	Weak	Medium
Real estate	Medium	Medium
Retail	Strong	Medium
Technology	Strong	Strong
Transportation	Weak	Weak
Size of Company		
Start-up	Strong	Weak
Small	Strong	Medium
Medium	Strong	Strong
Large	Medium	Strong

Exhibit 9: Recruiter Segmentation Analysis

	Small Client Base	Large Client Base
Narrow Focus	"BB Gun"  Loot: LOW. Each partner will bring in only a small amount of incremental revenue. Leverage: HIGH. Due to small partner size, Career Central will usually be providing more resources. However, if the recruiters are very skilled in areas where Career Central is not, their relationships with clients may be very valuable. Leakage: LOW. Recruiters would not pose much risk of misusing resumes, but Career Central's reputation and brand might be difficult to maintain with the large number and potentially questionable reputations of chosen partners. Pros: • Easy to manage each partnership • Easy to target growth • Easy to realign resources Cons: • Requires too many partnerships to reach critical mass • Operational challenges in managing highly fragmented channel • May be partnering with bottom-tier recruiters	"Missile"  Loot: HIGH. Clients should quickly realize the benefits of the database and become believers in the program. Leverage: MEDIUM. While the Career Central database is important, so are the client relationships owned by the recruiters. Leakage: MEDIUM. There is potential for a partner to misuse resumes for its clients, which would be isolated to a particular industry or function. Pros: • Potential for strong win in one area • Large reference base for new sales efforts • Easy to manage partnership Cons: • Might pick wrong partners • In new areas for Career Central, growth might be slower than desired
Broad Focus	"Shotgun"  Loot: LOW. Small number of clients tends to limit individual incremental gains. Leverage: MEDIUM. Relationships in a variety of industries or functions are valuable, but lack of depth lessens recruiter power. Leakage: MEDIUM. Partners will not be able to do much damage if resume misuse occurs, but may tarnish Career Central's image in several areas at once. Pros: • Partners may have strong reputation for one function, which can open up new industries (or vice versa) for Career Central • Easy to manage each partnership Cons: • Partners may not be too helpful, as they are spread too thin • May not offer focus required	"A-Bomb"  Loot: HIGH. If partnership is successful, it stands to gain the greatest amount of revenue in the shortest amount of time. Leverage: LOW. The strength and depth of recruiters' relationships will give it significant bargaining power in partnerships. Leakage: HIGH. Each partner can benefit greatly from Career Central's resume database. While most of these recruiters are highly reputable, one inappropriate action can lead to a long-term negative impact on Career Central's image. Pros: • Benefits from working with a strong partner • Immediate impact and "seal of approval" • Career Central can learn a great deal from its partners Cons: • Power might be taken by recruiters • Career Central might lose client interaction, which could hurt long-term prospects

Exhibit 10: Options for Fee Structures

OPTION 1: TRUST AND INFORMATION SHARING

	Ex Ante Current Deal	Ex Post Current Deal	With Trust and Sharing Info	Net Gain over Ex Post Deal
Career Central	\$3,000 flat fee	\$2,400 (\$3,000 – 20%)	\$4,500 (\$30,000 × 15%)	\$2,100 (\$4,500 – \$2,400)
Recruiter	\$27,000	\$21,600 (\$27,000 – 20%)	\$25,500 (\$30,000 – \$4,500)	\$3,900 (\$25,500 – \$21,600)

Ex Ante Current Deal

Career Central could contract with a recruiter for a \$3,000 flat search fee, regardless of the outcome. This is the same method it is using with current customers. This assumes the recruiter is placing a candidate in a \$100,000-a-year job and receiving a 30 percent fee (\$30,000). Before starting this relationship with the recruiter (ex ante), Career Central and the recruiter think that they will receive \$3,000 and \$27,000, respectively.

Ex Post Current Deal

Once the relationship starts, each party recognizes there is some risk associated with being in the partnership. Career Central fears that the recruiter will steal names and use them in future placement without compensation. The recruiter fears that Career Central will cut it out of the market by going directly to its customers.

To compound these problems, both Career Central and the recruiter spend time and money to police the relationship. The example assumes that each party spends 20 percent of its ex ante revenue on policing its partner. This arrangement results in new outcomes of \$2,400 and \$21,600 for Career Central and the recruiter, respectively.

With Trust and Sharing of Information

If there were complete trust in the relationship and the recruiter always told Career Central when a candidate was placed, there is opportunity to do better than the ex post outcome. And if Career Central can arrange a fee structure based on a percentage of the recruiter fee, it can do even better than the ex ante situation. Compensation based on a percentage might require Career Central to give up a guaranteed fee, paid only when a candidate is placed. This risk could be calculated if placement statistics were known.

Assume Career Central will take 15 percent of the recruiter's fee, or \$4,500. The recruiter keeps the balance of the \$30,000, or \$25,500. Both parties are better off with this outcome than with the results that occur when there is a lack of trust and money wasted on policing the other party.

Another version of this model could be developed such that Career Central gets a smaller flat fee up front and then a smaller percentage of the recruiter commission if the candidate is placed. Determining the appropriate balance between flat fee and commission is influenced by which party is taking a larger risk—Career Central by losing names or the recruiter by losing customers. Initially, Career Central would seem to have more to lose. But as it continues to grow, the recruiter might be in a more vulnerable position.

Exhibit 10 (continued)**OPTION 2: REDUCING THE BUYER'S COST OF OPERATIONS**

Career Central could position its service to recruiters as a way of conducting business more efficiently, helping on both revenue and cost sides. First, Career Central could help recruiters place more candidates each year by providing the recruiter quick access to names of qualified (and interested) people. Second, the recruiter's costs would go down due to less time spent searching for and screening candidates.

Assume the average search and placement takes a recruiter ten weeks. If the recruiter used Career Central to supply the initial list of qualified and interested candidates, a process that takes only five days, assume the recruiter could cut two weeks off the original ten weeks. The recruiter would experience a 20 percent productivity improvement. Also assume there would be a modest reduction in operating expenses for the recruiter, resulting in lower costs.

Making some assumptions about a typical recruiting firm, this productivity improvement could have the following results:

	Number of Searches per Year	Average Revenue per Search	Total Revenue	COGS	Gross Profit
Without Career Central	100	\$30,000	\$3,000,000	50%	\$1,500,000
With Career Central	120	\$30,000	\$3,600,000	45%	\$1,980,000
Incremental	20		\$600,000		\$480,000

Career Central could begin to extract some of extra value that was created. If Career Central could split the increase in profit with the recruiter, the result would be a \$240,000 increase.

OPTION 3: EXPAND THE PIE FIRST, THEN SPLIT IT UP

Another pricing scheme Career Central could consider involves extracting more money from the hiring company, then splitting the increase with the recruiter. There are several ways this could be done. One simple method would be to receive a bonus for each week less than the ten-week norm it takes to hire a candidate. For example, the client company could pay an extra \$2,000 if the candidate were hired in nine weeks, \$4,000 if hired in eight weeks, etc. Career Central and the recruiter could then split the bonus.

A derivation of the above plan could consist of charging the client a lower base fee (for example, 20 percent of salary), but charging larger bonuses if the candidate is hired quickly. This is an example:

Hiring Time Frame	Bonus	Base (20% of Salary)	Total Fee
1 to 3 weeks	\$20,000	\$20,000	\$40,000
4 to 6 weeks	\$15,000	\$20,000	\$35,000
7 to 9 weeks	\$10,000	\$20,000	\$30,000
10 to 12 weeks	\$5,000	\$20,000	\$25,000
13+ weeks	\$0	\$20,000	\$20,000

Exhibit 10 (continued)

Career Central could be compensated by receiving a small flat fee, say \$3,000, and then splitting the time-based bonus with the recruiter. If the Career Central service proved useful to recruiters and they were, on average, able to place candidates more quickly, they would be likely to accept a lower base fee in exchange for greater total compensation. Also, Career Central would be rewarded based on the value it brought to the partnership, which would speed up the recruiting process.

Still another variant on this model would be to reward the recruiter and Career Central based on the value each brought to the partnership. Recruiters are good at screening candidates for long-term fit at the hiring company. Career Central is good at finding qualified candidates quickly. A compensation plan that rewarded each party based on its strengths would give a bonus to the recruiter if the candidate remained at the company for a year and a bonus to Career Central if the candidate were found and hired quickly.

Payment Type	Money to Career Central	Money to Recruiter	Total
Base (20% of salary)	\$10,000	\$10,000	\$20,000
Speed Bonus	\$10,000	\$0	\$10,000
1-Year Bonus	\$0	\$10,000	\$10,000
	\$20,000	\$20,000	\$40,000

Here the client company could end up paying as much as \$40,000. This would be \$10,000 more than the \$30,000 they were used to. But it would not be unreasonable to think that they would be willing to pay this extra amount; first, they hired a new employee much more quickly than normal, and second, the employee remained for at least one year.

Exhibit 11: Options for Sharing of Information**OPTION 1: TRUST AND INFORMATION SHARING (FULL INFORMATION ACCESS)**

	What Would Be Shared	Rewards	Risks
Career Central	Full disclosure of database	Would gain access to additional potential subscribers	Tremendous risk regarding its database. Brand image and trust relationship with subscribers might be jeopardized
	Full cost information		
	Brand name used by recruiter	Cost information would be helpful in designed profit-maximizing structures	
		Would learn valuable techniques/information about the recruiting industry	
Recruiter	Full disclosure of database	Access to Career Central's database would greatly enhance position/marketability	Sharing of costs might lead to a disproportionate amount of the profits going to Career Central
	Industry information		
	Full cost information	Career Central's brand name could be used to strengthen positioning	

OPTION 2: LIMITED ACCESS TO INFORMATION

	What Would Be Shared	Rewards	Risks
Career Central	Database access limited to each specific search	Would maintain control of its key asset—its subscriber database	Transaction costs might be raised by the need to “police” database
	No cost sharing		
	No brand sharing		
Recruiter	No sharing of recruiter's database	None	None
	No cost sharing		